The market

1.3.1.1 Meeting customer needs · Unit 1 · Mr. Akram — Akademy

Adding value

Added value is the difference between the price a customer pays and the cost of the inputs used to make the product or service. The more value added, the more a business can charge and the better it competes.

- **Branding** — a trusted name customers pay more for.
- **Design & quality** — a better-made or better-looking product.
- **Convenience** — easier to buy or use (e.g. Ocado online ordering, flexible slots, reminder texts).
- **Customer service** — a personalised, reliable experience that builds loyalty.
- **USP** — a unique feature rivals can't easily copy.

Adding value raises revenue and loyalty, but extra services raise costs — so value must be added efficiently to protect margins.

Product differentiation

Product differentiation means making a product different from competitors, increasing brand loyalty, sales and growth. It lets a firm stand out and often charge a premium instead of competing only on price.

- **Design & features** — e.g. Aston Martin's higher driver's seats and durability.
- **Quality/ingredients** — e.g. Oppo's lower-calorie recipe (fresh milk, coconut oil, stevia).
- **Branding & image** — premium or eco/ethical positioning (the bottled-water test).

The goal is a strong **USP** — but differentiation costs money, and too high a price premium can still lose price-sensitive customers.

Competition & dynamic markets

- **Direct competition** — same product, same market (Nike vs Adidas).
- **Indirect competition (substitutes)** — different products meeting the same need (Eurotunnel vs a flight, London–Paris).

The degree of competition shapes strategy: intense rivalry pushes firms to innovate, differentiate or cut prices; small independents must find niches or service advantages. For customers, more competition usually means lower prices, more choice and better quality — but can bring hidden charges, cost-cutting, or less choice if weaker firms exit. Fast-changing markets like this are **dynamic markets**, and businesses must keep adapting.